

TABLE 24.1 Deviations from “Rational” Portfolio

	Bias Type—Cognitive	Bias Type—Emotional
High wealth level/Low SLR	Modest asset allocation change Suggestion: +/- 5–10% max per asset class	Stronger asset allocation change Suggestion: +/- 10–15% max per asset class
Low wealth level/High SLR	Close to the rational asset allocation Suggestion: +/- 0–3% max per asset class	Modest asset allocation change Suggestion: +/- 5–10% max per asset class

A key concept in creating a behaviorally modified allocation is to decide how much it should deviate from the “rational” allocation of traditional finance. Table 24.1 is a useful guideline for determining how much to adjust an allocation for behavioral bias.

Note that the percentages listed in the chart are suggested percentage adjustments from the “rational” allocation to asset classes based on behavioral bias. In terms of the magnitude of the suggested changes, to some these ranges may appear too narrow or too small in absolute terms, while others may view them as reasonable. The amount of change that is appropriate to modify an allocation will in large part depend on how many asset classes are used in the allocation. A 5 percent change in 10 asset classes, for example, could yield a substantial tilt to or away from risky assets, while for an asset allocation with four asset classes, 5 percent would not be enough. It is important to recognize the relative differences between these cases. The case requiring the least adjustment to the rational portfolio is a low-wealth-level client with cognitive bias. Here, low-wealth investors need to modify their behavior to reach their financial goals and, with cognitive bias, should be able to adjust behavior to match the rational allocation with appropriate education and information. If an adjustment is needed, a +/- 0–2 percent maximum asset class adjustment is suggested. We will see an example of this case in the case studies later. The case that will likely require the most adjustment per asset class is emotional bias at high wealth level. Here, a +/-10 percent maximum adjustment per asset class is suggested. The rationale for such a potentially high adjustment is that a wealthy investor with emotional bias may need substantial flexibility due to the fact that emotional biases are difficult to correct; a high wealth level permits flexibility. The “middle of the road” cases are the high wealth level with cognitive biases and the low wealth level with emotional bias. With these two cases, a suggested maximum asset class adjustment is +/-5 percent. The rationale for this level of adjustment is that there is a need to both adapt and